2-2e Journalizing

Using the rules of debit and credit, transactions are initially entered in a record called a **journal** (The initial record in which the effects of a transaction are recorded.) . The journal serves as a record of when transactions occurred and were recorded. To illustrate, the November 20Y3 transactions of **NetSolutions** from Chapter 1 are used.

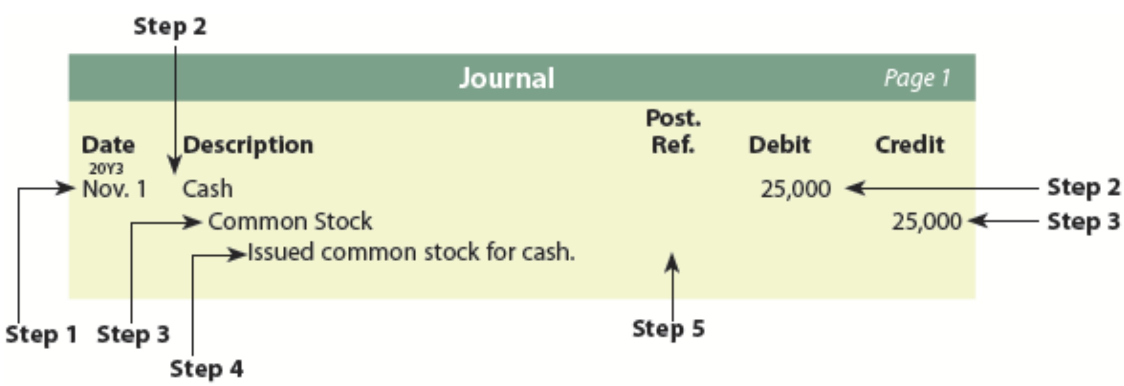
Transaction a

Nov. 1 Chris Clark deposited $25,000 in a bank account in the name of NetSolutions in exchange for common stock.

Analysis

This transaction increases an asset account and increases a stockholders' equity account. It is recorded in the journal as an increase (debit) to Cash and an increase (credit) to Common Stock.

Journal Entry



Accounting Equation Impact

Business Insight

Debits and Credits at the Bank

If you make a deposit at the bank, you are said to *credit* your account. Likewise, when you make a withdrawal, you are said to *debit* your account. At first, this may seem opposite to the debit and credit normal balance rules. Additions to cash are debits, not credits. However, while the cash in your account is an asset to you, it is a liability to the bank. Thus, when the bank credits your account for a deposit, it is increasing its liability account to you. Likewise, when the bank debits your account for a withdrawal, it is decreasing its liability account to you. Thus, the debit and credit normal balance rules are being followed from the bank's perspective.

The transaction is recorded in the journal using the following steps:

Step 1.

The date of the transaction is entered in the Date column.

Step 2.

The title of the account to be debited is recorded in the left-hand margin under the Description column, and the amount to be debited is entered in the Debit column.

Step 3.

The title of the account to be credited is listed below and to the right of the debited account title, and the amount to be credited is entered in the Credit column.

Step 4.

A brief description may be entered below the credited account.

Step 5.

The Post. Ref. (Posting Reference) column is left blank when the journal entry is initially recorded. This column is used later in this chapter when the journal entry amounts are transferred to the accounts in the ledger.

The process of recording a transaction in the journal is called **journalizing** (The process of recording a transaction in a journal.) . The entry in the journal is called a

journal entry (The record of a transaction entered in a journal, made up of at least one debit and one credit.)

. The form of the journal illustrated is called the

two-column journal (A form of journal in which there are only two amount columns, one for debits and one for credits.)

. Other forms of journals are described and illustrated in online Appendix E, *Special Journals and Subsidiary Ledgers*.

A useful method for analyzing and journalizing transactions is as follows:

(a) Carefully read the description of the transaction to determine whether an asset, a liability, a stockholders' equity, a revenue, an expense, or a dividends account is affected.

(b) For each account affected by the transaction, determine whether the account increases or decreases.

(c) Determine whether each increase or decrease should be recorded as a debit or a credit, following the rules of debit and credit shown in Exhibit 3.

(d) Record the transaction using a journal entry.

Exhibit 4 summarizes terminology that is often used in describing a transaction along with the related accounts that would be debited and credited.

Exhibit 4

Transaction Terminology and Related Journal Entry Accounts

	Journal Entry Account	
Common Transaction Terminology	**Debit**	**Credit**
Received cash for services provided	Cash	Fees Earned
Services provided on account	Accounts Receivable	Fees Earned
Received cash on account	Cash	Accounts Receivable
Purchased on account	Asset account	Accounts Payable
Paid on account	Accounts Payable	Cash
Paid cash	Asset or expense account	Cash

Issued common stock	Cash and/or other assets	Common Stock
Paid dividends	Dividends	Cash

The remaining transactions of NetSolutions for November are analyzed and journalized.

Transaction b

Nov. 5 NetSolutions paid $20,000 for the purchase of land as a future building site.

Analysis

This transaction increases one asset account and decreases another. It is recorded in the journal as a $20,000 increase (debit) to Land and a $20,000 decrease (credit) to Cash.

Journal Entry

Nov. 5	Land	20,000	
	Cash		20,000
	Purchased land for building site.		

Accounting Equation Impact

Assets	=	Liabilities	+	Stockholders' Equity

Land	
Nov. 5 20,000	

Cash	
	Nov. 5 20,000

Transaction c

Nov. 10	NetSolutions purchased supplies on account for $1,350.

Analysis

This transaction increases an asset account and increases a liability account. It is recorded in the journal as a $1,350 increase (debit) to Supplies and a $1,350 increase (credit) to Accounts Payable.

Journal Entry

Nov. 10	Supplies	1,350	
	Accounts Payable		1,350
	Purchased supplies on account.		

Accounting Equation Impact

Assets		=	Liabilities		+	Stockholders' Equity
Supplies			Accounts Payable			
Nov. 10 1,350				Nov. 10 1,350		

Transaction d

Nov. 18	NetSolutions received cash of $7,500 from customers for services provided.

Analysis

This transaction increases an asset account and increases a revenue account. It is recorded in the journal as a $7,500 increase (debit) to Cash and a $7,500 increase (credit) to Fees Earned.

Journal Entry

Nov. 18	Cash	7,500	
	Fees Earned		7,500

Received fees from customers.

Accounting Equation Impact

Assets		=	Liabilities	+	Stockholders' Equity (Revenue)	
Cash					**Fees Earned**	
Nov. 18 7,500						Nov. 18 7,500

Transaction e

Nov. 30	NetSolutions incurred the following expenses: wages, $2,125; rent, $800; utilities, $450; and miscellaneous, $275.

Analysis

This transaction increases various expense accounts and decreases an asset (Cash) account. You should note that regardless of the number of accounts, *the sum of the debits is always equal to the sum of the credits in a journal entry*. It is recorded in the journal with increases (debits) to the expense accounts (Wages Expense, $2,125; Rent Expense, $800; Utilities Expense, $450; and Miscellaneous Expense, $275) and a decrease (credit) to Cash, $3,650.

Journal Entry

Nov. 30	Wages Expense	2,125	
	Rent Expense	800	
	Utilities Expense	450	
	Miscellaneous Expense	275	
	Cash		3,650
	Paid expenses.		

Accounting Equation Impact

Assets		=	Liabilities	+	Stockholders' Equity (Expense)	
Cash					**Wages Expense**	
	Nov. 30 3,650				Nov. 30 2,125	
					Rent Expense	

Nov. 30	800		

Utilities Expense			
Nov. 30	450		

Miscellaneous Expense			
Nov. 30	275		

Transaction f

Nov. 30	NetSolutions paid creditors on account, $950.

Analysis

This transaction decreases a liability account and decreases an asset account. It is recorded in the journal as a $950 decrease (debit) to Accounts Payable and a $950 decrease (credit) to Cash.

Journal Entry

Nov. 30	Accounts Payable	950	
	Cash		950
	Paid creditors on account.		

Accounting Equation Impact

Assets = Liabilities + Stockholders' Equity

Cash			
		Nov. 30	950

Accounts Payable			
Nov. 30	950		

Transaction g

Nov. 30	NetSolutions determined that the cost of supplies on hand at November 30 was $550.

Analysis

NetSolutions purchased $1,350 of supplies on November 10. Thus, $800 ($1,350 –

$550) of supplies must have been used during November. This transaction is recorded in the journal as an $800 increase (debit) to Supplies Expense and an $800 decrease (credit) to Supplies.

Journal Entry

Nov. 30	Supplies Expense	800	
	Supplies		800
	Supplies used during November.		

Accounting Equation Impact

Assets	=	Liabilities	+	Stockholders' Equity (Expense)
Supplies				Supplies Expense
Nov. 30 800 (credit)				Nov. 30 800 (debit)

Transaction h

Nov. 30	Paid dividends, $2,000.

Analysis

This transaction decreases assets and stockholders'equity. This transaction is recorded in the journal as a $2,000 increase (debit) to Dividends and a $2,000 decrease (credit) to Cash.

Journal Entry

Journal *Page 2*

Date	Description	Post. Ref.	Debit	Credit
20Y3				
Nov. 30	Dividends		2,000	
	Cash			2,000
	Paid dividends.			

Journal *Page 2*

Date	Description	Post. Ref.	Debit	Credit
20Y3				
Nov. 30	Dividends		2,000	
	Cash			2,000
	Paid dividends.			

Accounting Equation Impact

Assets		=	Liabilities	+	Stockholders' Equity (Dividends)	
Cash					Dividends	
	Nov. 30 2,000				Nov. 30 2,000	

Ethics in Action

Will Journalizing Prevent Fraud?

While journalizing transactions reduces the possibility of fraud, it by no means eliminates it. For example, embezzlement can be hidden within the double-entry bookkeeping system by creating fictitious suppliers to whom checks are issued.

Check up Corner 2-2

Journal Entries

Selected transactions from Simmons Urgent Care Inc.'s first month of operations are as follows:

Jan. 1.	David Simmons deposited $30,000 in a bank account in the name of Simmons Urgent Care Inc. in exchange for common stock.
2.	Purchased medical supplies on account, $6,000.
6.	Paid cash to creditors on account, $3,200.
7.	Purchased office equipment on account, $62,500.

Journalize these transactions, and illustrate their impact on the accounting equation using T accounts.

Chapter 2: Analyzing Transactions: 2-2e Journalizing
Book Title: Financial and Managerial Accounting
Printed By: Raydel Castro Guerra (raydel.castro001@mymdc.net)